Suitability Report

Mr Anthony Barnes

Date: 16/12/2025

Thomas Redmond DipPFS
Independent Financial Adviser

TFAS Wealth Ltd
Second Floor
St Andrews House
119-121 The Headrow
Leeds
LS1 5JW

0800 888 6100

Recommendation Summary

Recommendations	Aviva Life & Pensions UK Ltd – Pension Portfolio (SIPP): Add TFAS as servicing advisers & reduce platform charges; switch underlying investments Contribute a lump sum of £2,880 net (£3,600 gross) for this tax year 2025/26 Aviva Platform Investment Portfolio (GIA): Invest £57,120 Aviva Platform ISA Portfolio: Transfer £20,000 Cash ISA to Stocks & Shares ISA
Investments	Pension: Aviva Insured Funds Multi-Asset Plus Fund II (100%) GIA & ISA: CT Universal MAP Cautious Fund C Acc (100%)
Attitude to Risk	Risk Level 4 – Cautious Balanced

My Recommendation

You have been provided with a copy of our **Client Agreement** and **Important Information about our Investment, Protection and Pension Services**. These are important documents that contain further information about the type of advice I can provide and set out the basis on which my company conducts business with you.

The basis of my advice

Following a recent review of your financial affairs we identified certain needs and objectives as detailed below. This report is designed to explain how and why my recommendations can help meet these needs and objectives - whilst at the same time highlighting any potential disadvantages and risks, as well as any other implications in terms of costs, charges and taxation.

My advice provided to you is based upon the information you have disclosed and therefore if this letter does not coincide with your view of the situation, or you require any further clarification, please contact me immediately. It is important to emphasise any information in relation to your circumstances that has not been disclosed could have affected my advice to you.

Your current situation

You are currently aged 55 and married to Yvette, aged 59. You are both in good health and have three adult children and three grandchildren. All your children are financially independent.

You recently retired from a factory role after 35 years of shift work. You did start work part-time driving autistic children to colleges, earning approximately £890 net per month however, you decided that this was not suited to you and have since stopped working altogether. You also receive a defined benefit pension from Aon of £22,000 gross per annum (approximately £1,700 net per month). Yvette works full-time as a Medical Case Handler, earning £28,000 gross per annum however, she is intending on reducing her hours to 3 days per week from next year.

Your current regular expenditure is approximately £2,493 per month covering essential costs such as household bills, transport, and food. You also have discretionary spending of approximately £800 per month on entertainment and leisure, plus around £5,000 annually on holidays. This is covered by your joint expenditure and leaves you with surplus income each month, which you currently save or spend as required.

Your main residence at 27 Reigate Road, Urmston, Manchester is mortgage-free and valued at £400,000. You currently jointly hold £190,000 in liquid assets including £100,000 inheritance from your late father's estate (due this month), £40,000 in a Chartered savings account, £20,000 in your Cash ISA, £20,000 in Yvette's Cash ISA with Moneybox, and £10,000 as an emergency fund. You intend to spend circa £40,000 of your inheritance on renovations, but would like to look at investing the remaining £60,000, and possibly your Cash ISA. You do not wish to move your Chartered savings at this time.

You both expect to receive the full State Pension of £11,973 per annum from age 67. Yvette plans to fully retire when you turn 60.

You contacted me recently as you wished to review your pension arrangements, which have not been assessed for six to seven years. Your objectives include ensuring your investments match your risk profile, investing your inheritance tax-efficiently, and planning for a target income of approximately £2,200 net per month, including your defined benefit pension.

You have confirmed that you retain sufficient liquid capital, either immediately or on short notice, to meet any unexpected emergencies. This provides a reassuring level of financial security as you move forward with your planning.

Assets & Liabilities

Assets	Value
Main Residence	£400,000
Cash & Savings	£190,000
Personal Pension (Aviva Platform)	£79,092
TOTAL	**£669,092**
Liabilities	**Value**
None	£0
TOTAL	**£0**
NET Asset Value	**£669,092**

Inheritance Tax Summary

We each have a Nil Rate Band (NRB) of £325,000 and, if your property is passed to direct descendants, a Main Residence Nil Rate Band (RNRB) of £175,000. Any unused NRB can be transferred to a surviving spouse or civil partner, meaning up to £1 million can be passed on tax-free on second death.

Historically, pensions have not formed part of your estate for IHT purposes, making them a valuable estate planning tool. However, legislation has now been passed to change this.

From 6 April 2027, most unused defined contribution pensions and death benefits (such as drawdown funds and uncrystallised pots) will be included in your taxable estate for IHT. Exceptions include pensions paid to a surviving spouse or civil partner, dependents' scheme pensions, and death-in-service benefits. Executors will be responsible for declaring pension values as part of the IHT return and may use new options for settling any tax due directly from pension funds.

Currently, your Inheritance Tax liability will be £0. With your combined estate well below the £1 million combined allowances available to married couples, there is no immediate IHT concern. We will continue to monitor your IHT position at our future reviews.

Your Objectives

We reviewed your needs, objectives and time horizons and agreed the following:

- You want to ensure your investments match your agreed Cautious Balanced risk level to align with your tolerance for volatility.
- You want to invest your inheritance tax-efficiently using a GIA, and consider transferring your Cash ISA to a Stocks & Shares ISA.
- You want to provide flexibility and growth to support your desired retirement income of approximately £2,200 net per month.
- You want to simplify your administration by keeping your pension, ISA and GIA on one Aviva Platform with ongoing professional oversight.
- You want to take advantage of the pension annual allowance with a contribution of £3,600 gross (£2,880 net) in the 2025/26 tax year.

Attitude to Risk & Capacity for loss

Your attitude to risk

You completed a risk profiling questionnaire on 9 August 2025, and this was discussed and agreed. Your risk profile was agreed as 4 on a scale of 1 – 10.

Based on your answers, you tend to see yourself as quite a cautious person and are inclined to view risk negatively rather than as a source of opportunity. You have limited or moderate experience of investments and do not find financial matters particularly easy to understand, but you are suited to a Cautious Balanced approach to investing.

It's important that your investment portfolio matches your willingness and ability to take investment risk. A Cautious Balanced risk profile shows that you may take some time to make investment decisions and tend to be somewhat anxious about those decisions. You are inclined to look for safer investments, although you may consider taking some risk in exchange for increased potential returns.

A portfolio for this risk profile is most likely to contain a diversified mix of assets including equities, bonds, and other asset classes. It targets moderate capital appreciation and is designed to remain within your agreed level of risk whilst providing the potential for steady growth. The portfolio will have moderate volatility and aims to balance growth potential with capital preservation.

Capacity for loss

Whenever you invest you have to accept there is a risk to your capital. Any capacity for loss is based on what you are prepared to lose, or can afford to lose, which is based on your personal circumstances. Having agreed your attitude to investment risk, we discussed how this could impact on potential losses to your investment, and you confirmed this is within an acceptable tolerance based on your capacity to suffer any losses. We have also utilised Cashflow analysis to assess whether you will have sufficient funds for retirement.

Based on our conversations and analysis, I have determined that your capacity for loss is Medium-High. You have a good level of guaranteed income from State and Private Pensions, and this means that you will only have a shortfall for a small period of time, when Yvette retires, until her State Pension begins. You also have significant funds to cover this, providing you with greater resilience to investment volatility.

Knowledge & Experience

Based on your investor experience questionnaire completed on 9 August 2025, you describe yourself as having very little understanding or knowledge when it comes to investing. You have a fair degree of understanding of cash accounts, savings accounts, and Cash ISAs, but no understanding of unit trusts, stocks and shares, or enterprise investment schemes. You have invested in current accounts, savings, Cash ISAs, and stocks and shares within the last 5 years, with stocks and shares investments made by yourself. You have also invested in pension planning through a financial adviser and check the valuation of your investment and retirement portfolio on an annual basis.

Existing Arrangements

Provider/Scheme	Aviva Life & Pensions UK Ltd – Pension Portfolio (SIPP)
Type of Plan	Personal Pension Plan (SIPP)
Fund Value	£79,092.32 (as at 23/11/2025)
Transfer Value	£79,092.32
Contributions	None ongoing
Safeguarded Features incl. TFC/GARs/MIG	None
Charges	0.32% platform charge + 0.22% weighted fund charges
Investment Funds	Vanguard LifeStrategy 60% Equity (35.02%) Vanguard LifeStrategy 80% Equity (64.95%) Cash (0.03%)
Risk Level	6
Penalties/Cost of exit/Switching	None
Retirement Options	Full flexi-access drawdown and UFPLS available
Number of funds available	Over 6,900 funds available
Allows Servicing Adviser	Yes
Other Considerations	Good platform with comprehensive facilities, but current holdings do not match agreed risk profile

My Recommendations

Following your request, we have now completed a full assessment of the options available to you. My recommendation accounts for several important factors including your answers to our Attitude to Risk Questionnaire and an analysis of the available options.

When carrying out this review I conducted a full review of your existing pension scheme in relation to the charges, investment performance, accessible fund range, and retirement options available. This helps to understand the competitive nature of each pension scheme. Once this information was analysed, I then compared each pension scheme against the most suitable alternative option from the following:

- Option 1 - Leave the existing pension scheme untouched
- Option 2 - Leave the existing pension scheme in place and switch investment funds
- Option 3 - Switch the existing pension scheme into another existing pension arrangement
- Option 4 - Switch your existing schemes into your employer's pension arrangement
- Option 5 - Set up a new pension plan to move your existing pension schemes into

EXISTING SCHEME	ADVICE
Aviva Pension Portfolio – AV2075926-001	Retain on Aviva Platform, move to TFAS agency for 0.21% platform charge, switch underlying funds to match risk profile, and add £3,600 gross contribution

- The Aviva Platform is an excellent platform with comprehensive investment choices and facilities suitable for your needs.
- The current funds have a risk level of 6, which does not match your agreed Cautious Balanced risk profile of 4.
- By moving the pension under TFAS agency, you will benefit from a reduced platform charge from 0.32% to 0.21%.
- The recommended new fund is specifically designed for risk level 4 investors and will keep your investments aligned with your risk tolerance.
- You will gain access to ongoing professional oversight and our investment monitoring process to ensure the fund remains suitable for your circumstances.
- A pension contribution of £3,600 gross will utilise your annual allowance tax-efficiently and boost your retirement provision.

Following a detailed review of your current pension arrangement, the internal changes I am recommending are in your best interests for the following reasons:

- Lower Costs – Moving to our agency terms will reduce your platform charge from 0.32% to 0.21%.
- Risk Alignment – The current funds have a risk level of 6, which is too high for your agreed Cautious Balanced risk profile of 4. Switching to the recommended fund will ensure your investments match your risk tolerance.
- Professional Oversight – You will gain access to ongoing professional fund monitoring and portfolio review services to ensure your investments remain appropriate for your circumstances.
- Adviser Charging Facilitation – The platform allows adviser charges to be deducted directly, ensuring ongoing financial planning support without the need for separate payments.
- Tax-Efficient Contribution – The recommended £3,600 gross contribution will utilise your annual allowance and benefit from 20% tax relief.
- Platform Integration – Keeping your pension, ISA and GIA on the same Aviva Platform will provide administrative convenience and a single point of contact for all your investments.

By making these changes, you will benefit from lower costs, appropriate risk alignment, ongoing professional oversight, and tax-efficient growth, ensuring your pension remains on track to support your retirement goals.

Other Considerations of Switching

You should note that whilst the transactions are pending, there could be movements within the stock-market; that is to say that the stock-market could rise or fall in value. If the market rises in value between the date of realising your existing funds and the purchase of your new (funds), you could be financially disadvantaged insofar as the cost of buying your new fund could be greater. Conversely, if there is a fall in the market between the date of realising your existing funds and the purchase of your new funds, you could be financially advantaged insofar as the cost of buying your new funds could be lower.

Should you require access to these funds in the future it will usually take 10-15 working days for administration, disinvestment and banking processes to complete. You are comfortable with this as you have significant liquid cash available should you require instant access to funds.

There is no guarantee the return on the new investment will be greater than that of your existing arrangement for these funds.

All other risks associated with this investment are detailed in the product literature provided to you. You should read this document carefully.

Recommended Solution – Pension

New Plan	Total Investment Value	Additional Contributions
Aviva Pension Portfolio (SIPP)	£79,092.32	£2,880 net (£3,600 gross) single contribution 2025/26

I have recommended a Personal Pension for the following reasons:

- It is the most suitable solution given your circumstances and retirement objectives.
- It provides an extremely tax-efficient way of building up a retirement fund.
- You can vary your regular contributions or make one-off payments as required. Personal contributions to the pension benefit from valuable tax relief; for example, a net contribution of £80 effectively becomes £100 gross in your pension.
- Regular reviews will ensure that your pension continues to reflect your risk tolerance and performance expectations, although performance cannot be guaranteed. Underlying funds can be adjusted to suit changes in your personal circumstances.
- You can draw benefits from your pension fund in a number of different ways from age 55 (rising to 57 from 6 April 2028). However, you should always take advice beforehand to ensure you are taking benefits in the most tax efficient way possible.
- You understand the pension freedoms and prefer the flexibility of entering Flexi Access Drawdown when you access your pension, allowing you control over how and when benefits are taken. The pension provider will be selected to ensure seamless conversion to Flexi Access Drawdown when you decide to draw benefits.
- Should you die before age 75, the nominated beneficiaries can receive a lump sum, drawdown an income or purchase a dependents annuity. All these options are paid free of tax. Where you die after the age of 75, the same options are available, but tax is paid at the beneficiary’s marginal rate of tax.
- Pensions are currently outside of your estate for IHT purposes, however from 6 April 2027, most unused defined contribution pensions and death benefits (such as drawdown funds and uncrystallised pots) will be included in your taxable estate for IHT. Exceptions include pensions paid to a surviving spouse or civil partner, dependents' scheme pensions, and death-in-service benefits.

Contributions

I have recommended the contribution detailed above for the following reasons:

- You want to build up a pension fund that will give you a good standard of living in retirement.
- This is an amount you can comfortably afford from your inheritance funds without affecting your current lifestyle.
- A lump sum contribution allows you to benefit from immediate tax relief and gets the money working for you straight away.
- You will receive 20% tax relief on contributions, meaning the government adds £720 to your £2,880 net contribution.
- This utilises your annual allowance efficiently in the current tax year.

We are unsure of your earnings this tax year, as you retired and then only worked for a short period of time however, you confirmed that you did not make any pension contributions. Therefore, we have recommended the maximum you can contribute based on this information. If you contribute more than you earn in this tax year, you'll face a tax charge because you'll have received tax relief beyond your income limit. In most cases, HMRC will treat the excess as additional income for the year, and you'll be taxed on it at your marginal rate. However, your current earnings are sufficient to support the recommended contribution level.

Recommended Solution – Pension

New Plan	Total Investment Value	Additional Contributions
Aviva Investment Portfolio (GIA)	£57,120	None
Aviva ISA Portfolio	£20,000 (Cash ISA transfer)	None

I have recommended an ISA for the following reasons:

An ISA is a suitable and tax-efficient way to invest, tailored to your circumstances, access requirements, and financial goals. It allows you to minimise tax liability by making full use of available allowances, while offering capital growth potential in line with your objectives. With a wide range of investment options, you have the flexibility to adjust your strategy without triggering tax liabilities, as ISAs are exempt from Capital Gains Tax (CGT).

I have recommended a GIA for the following reasons:

A General Investment Account (GIA) offers capital growth potential in line with your investment objectives while providing the flexibility to implement your recommended investment strategy effectively. By using a GIA, you can take advantage of your annual Capital Gains Tax (CGT) allowance through careful planning, helping to minimise tax on your investment gains. Additionally, the recommended Bed & ISA facility allows you to gradually transfer investments into an ISA/Pension each tax year, making your portfolio as tax-efficient as possible over time. I recommend that this action is completed each year review.

Why this provider has been recommended

A platform is a service that allows you to hold one or a number of different investment vehicles under one roof. It also has access to a significant number of investment funds from different fund managers to allow the creation of a diversified portfolio with the ability to switch funds at any time. It also provides the facility to obtain up-to-date valuations on all your investments whenever required.

The Aviva Platform, part of FTSE 100–listed Aviva plc, provides a secure and flexible way to manage investments under one roof, with access to ISAs, pensions, and general investment accounts.

Key Benefits:

- **Financial strength – Aviva is rated A (Stable) by S&P, with £407bn AUM (31 Dec 2024).**
- **Choice – Over 6,900 funds and leading managers, across ISAs, pensions, and GIAs.**
- **Flexibility – ISA allows withdrawals and replacements in the same tax year.**
- **Expertise – Aviva Investors manages award-winning strategies across asset classes, plus access to private markets (equity, infrastructure, real estate).**
- **Value – Transparent, competitive charges with potential tiered pricing.**
- **Convenience – Online tools for viewing performance, switching funds, and accessing documents.**
- **Governance – Strong regulatory oversight and risk management.**
- **Innovation – Ongoing digital investment and enhanced cash management tools.**

Summary of Plan Charges

<u>Annual recurring charges</u>

Plan	Platform	Investment Management	Total Charge
Aviva Platform Personal Pension	0.21%	0.41%	0.62%
	£173.65	£339.04	£512.69

Plan	Platform	Investment Management	Total Charge
	0.21%	0.29%	0.5%
Aviva Platform ISA	£42	£58	£100
Aviva Platform GIA	£119.95	£165.65	£285.60

Your personal illustration contains further information regarding the cumulative effect the charges will have on your investment returns. The charge in monetary terms shown here may differ from the illustration due to differences in calculation methods.

The charge in monetary terms is an estimate based on the amount being invested into the plan, plus one year of contributions. The annual recurring charges assume no investment growth. In reality, the underlying investments will fluctuate daily, and this makes it impossible to accurately predict the actual monetary charges that will be incurred in the future.

The charges quoted in this report exclude the transaction costs of the underlying funds, as these are variable and subject to change based on factors such as market conditions and trading activity. Transaction costs are not fees paid to the asset manager; instead, they include expenses like broker commissions, taxes, and the cost of executing trades. Despite their variability, these costs are already accounted for in the fund's performance figures, which are presented net of all charges. This provides a clear and accurate reflection of the investment's returns after all costs have been considered.

Pension Switch Charges Only Assessment

The table below shows the difference in the total recurring annual charges of the existing plan and the alternative plan that has been recommended to replace it in both percentage and monetary terms. The difference in monetary terms is based on the current fund value of the existing plan, as highlighted in the earlier review section.

Plan	Current Annual Recurring Charge of Existing Plan		Impact of Recommended Alternative	
Aviva Pension Portfolio – AV2075926-001	0.54%	£427	+0.08%	+£63

Like for Like

Based on information supplied by Aviva, our calculations show that the recommended fund strategy is 0.08% more expensive than your current plan. This means that your proposed plan will need to outperform your current plan by £63 in the first year (in monetary terms). However, this small increase in charges is justified by the improved risk alignment and ongoing professional oversight.

Including Adviser Fee

As we have agreed to be remunerated via ongoing adviser charges, our calculations show that including our 1% annual fee, the total cost is approximately 1.62% annually compared to your current arrangement of 0.54%. This means that your proposed plan will need to outperform your current plan by approximately 1.08% annually to match the same net growth.

I have also assessed the impact of our charges upon transferring and over time. This is called the Critical Yield and can be found in the Appendix of this report.

Based on a mid-growth rate of 2.94%, including our advice fees, the recommended plan would need to grow by 2.94% per year up to age 60 in order to meet the same value as your current plan. Based on the past performance of your recommended funds, I believe this is achievable given the improved risk alignment and professional oversight.

Fund recommendation

In addition to your attitude to investment risk and capacity for loss, I have also considered your investment objectives as well as your knowledge and experience, and the length of time you wish to invest for. Having taken account of all these factors, I have recommended the following investment strategy.

Investment Fund	Allocation	Risk Rating	Annual Charge
Aviva Insured Funds Multi-Asset Plus Fund II	100%	4	0.41%
Total	**100%**	**4**	**0.41%**

Investment Fund	Allocation	Risk Rating	Annual Charge
CT Universal MAP Cautious Fund C Acc	100%	4	0.29%
Total	**100%**	**4**	**0.29%**

Please refer to the enclosed illustration for a full breakdown of the recommended portfolio.

This will ensure you have a diversified investment portfolio based on your retirement objectives in isolation as you requested and one which is in line with your stated attitude to investment risk. Details of these funds are contained in the product literature.

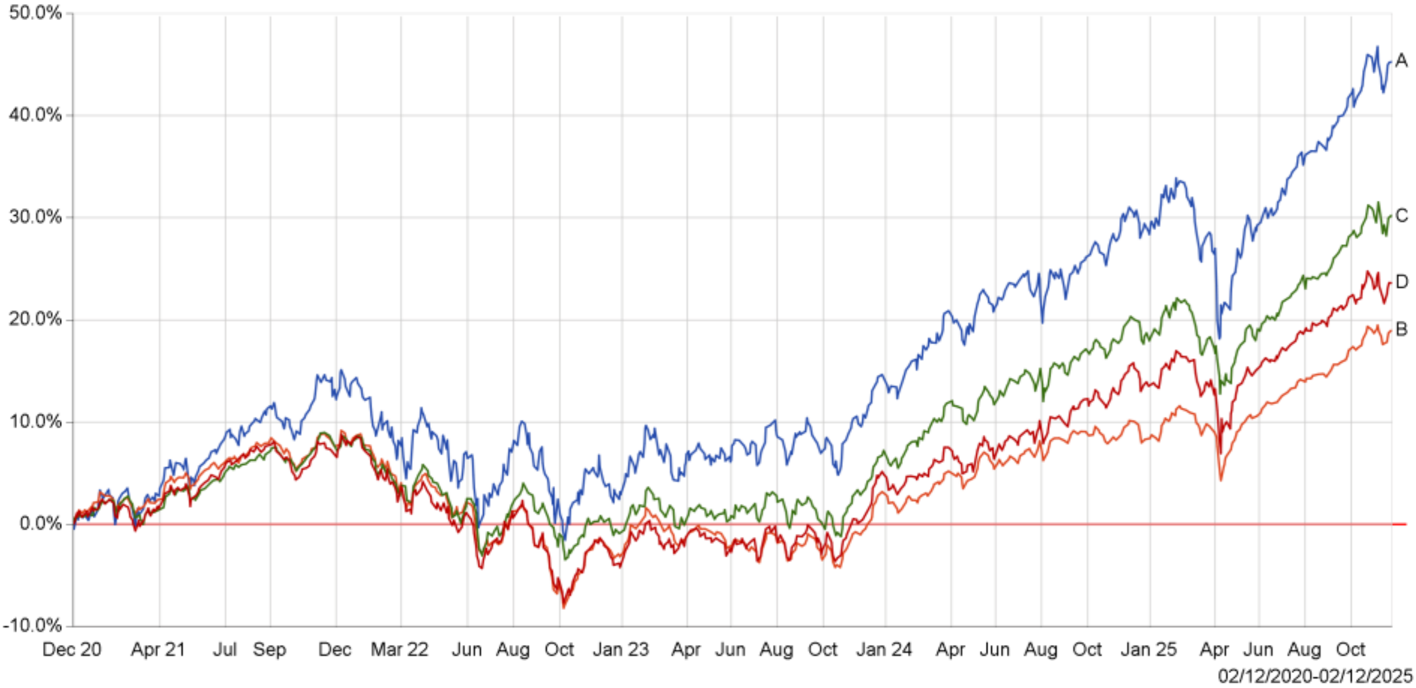
- The funds reflect your risk profile and are managed to remain within this risk tolerance.
- It provides exposure to a range of asset classes and market sectors resulting in greater diversification and reduced risk.
- It provides a blend of active and passive investments, which allows for some active management, whilst keeping costs low.
- You want to keep the investment strategy of your pension fairly simple.
- The charges are competitive.
- The funds have performed well in comparison with their peers.
- The funds are part of our CIP (Centralised Investment Proposition). This is regularly reviewed by a quarterly investment committee. We also utilise a leading external research team to ensure regular monitoring and oversight of our recommended funds.
- We have recommended a multi-asset fund because it provides a professionally managed, diversified investment solution that aligns with your financial goals and risk profile. These funds are risk-profiled solutions, meaning they are specifically designed to remain within your agreed level of risk, ensuring your investments stay aligned with your preferences. These funds combine the growth potential of equities with the potentially uncorrelated returns of other asset classes, such as bonds, property and absolute return. By investing across a range of asset classes, the fund reduces the risk associated with market volatility while offering the potential for steady growth or income, depending on your needs. Managed by experts who regularly adjust the portfolio to maintain suitability, this option offers simplicity, cost-efficiency, and flexibility as your circumstances evolve, making it a balanced and reliable choice for achieving your long-term financial plans.

You should remember that unit prices and the value of your pension fund can fall as well as rise and there is no guarantee you will receive a return of your original capital, especially in the early years or if you choose to take an income from it. Past performance is no guarantee of future returns.

A switch between pension providers does not guarantee a greater pension fund at retirement and there is no guarantee that the new provider's funds will outperform those of your existing provider.

Performance Assessment

The below chart shows a performance analysis of your existing pension funds (A) against the recommended funds (C – Pension / D – ISA & GIA) over a 5-year period. I have also included the benchmark for your Risk Level 4 profile for comparison (B).



Cumulative Performance (%)

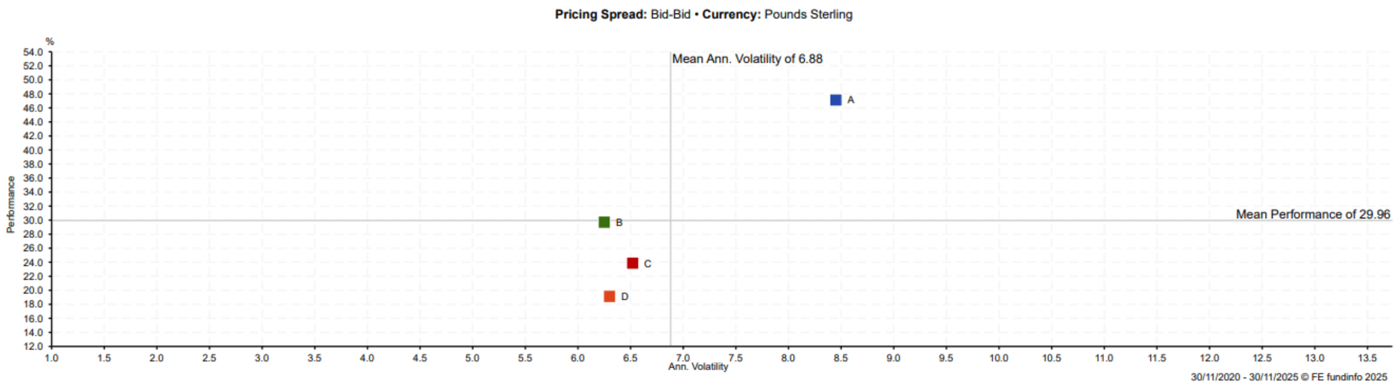
Cumulative Performance as at 02/12/2025*

	Instrument	Currency	3m	6m	1y	3yrs	5yrs	02/12/2020 to 02/12/2025
A	A Barnes - Current Strategy GTR in GB	GBP	6.33	12.44	11.11	37.51	45.28	45.28
B	ABI Mixed Investment 20-60% Shares GTR in GB	GBP	4.04	7.25	7.99	20.60	18.68	18.96
C	Aviva Pen - Multi-asset Plus II Pn S14 GTR in GB	GBX	4.65	9.43	8.93	29.05	30.12	30.12
D	CT - Universal MAP Cautious C Acc in GB	GBX	3.30	7.39	7.50	25.28	23.61	23.61

*excluding chart selection

Source: FE Analytics)

The below chart shows a volatility analysis of your existing pension funds (A) against the recommended funds (C – ISA & GIA / B – Pension) over a 5-year period. I have also included the benchmark for your Risk Level 4 profile for comparison (D).



Key	Name	Performance	Volatility
A	A Barnes - Current Strategy GTR in GB	47.12	8.45
B	Aviva Pen - Multi-asset Plus II Pn S14 GTR in GB	29.71	6.25
C	CT - Universal MAP Cautious C Acc in GB	23.87	6.52
D	ABI Mixed Investment 20-60% Shares GTR in GB	19.13	6.30

(Source: FE Analytics)

This shows that the recommended Aviva Multi-asset Plus Fund II provides more consistent performance aligned with your Risk Level 4 profile. The fund demonstrates lower volatility than your current mix of Vanguard LifeStrategy 60% and 80% equity funds, which have a combined risk level of 6.

The analysis demonstrates that your current holdings carry higher risk than your agreed profile, which is why we recommend switching to the Aviva fund that matches your Cautious Balanced approach. The recommended fund's performance has been competitive whilst maintaining appropriate risk levels for your circumstances. Although your current funds have outperformed the recommended funds, they have suffered much steeper losses, which is demonstrated in the charts above. The recommended funds have provided a steadier performance with less severe drops over the 5-year period.

Past performance is not a guarantee of future returns.

Cashflow Analysis

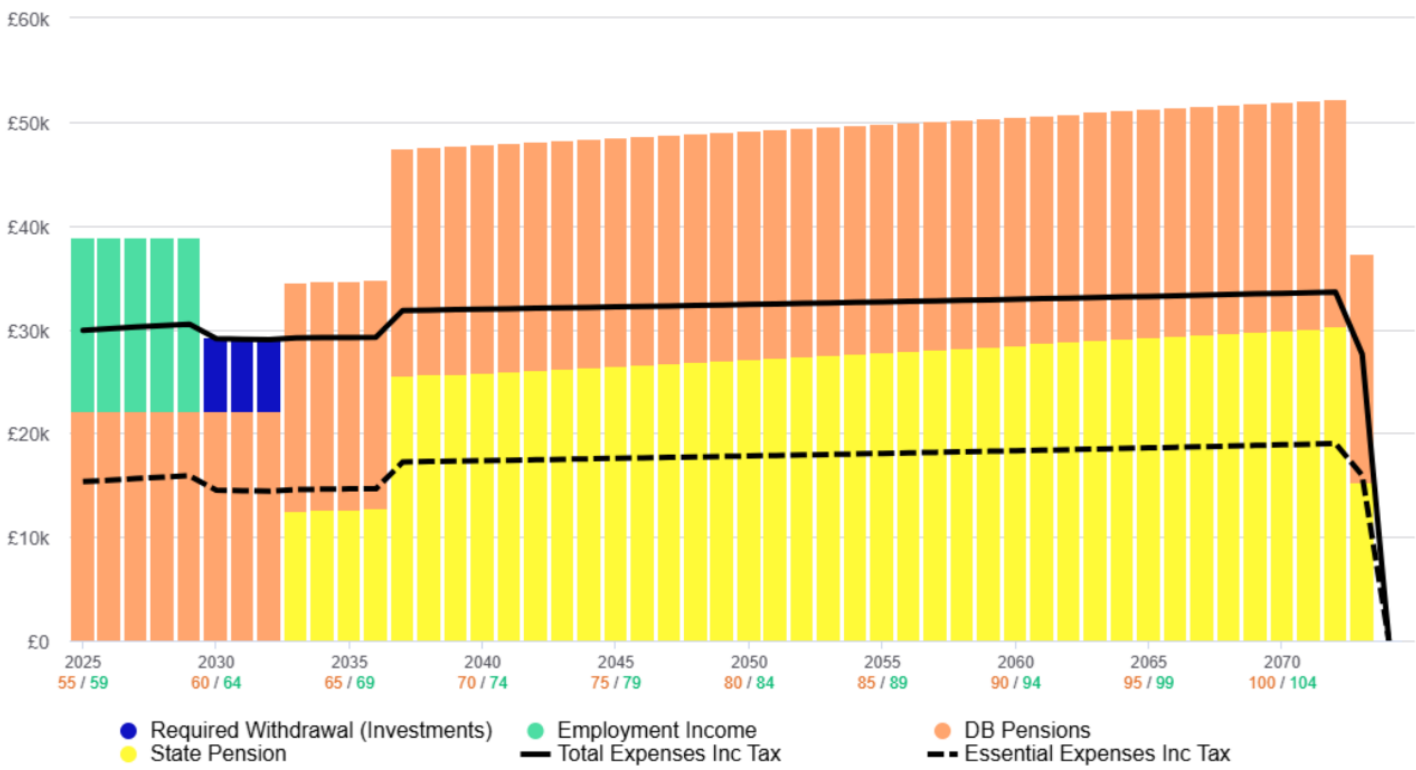
I have used a cashflow modeller to create a graphical representation of your assets, investments, debts, income and expenditure. I have projected these forward, year-on-year, to assess the likelihood of you being able to achieve your objectives. A summary of the key scenarios I have modelled to help develop my recommendations are included below.

We have input the following information into the cashflow modeller to generate the charts below:

- You receive a defined benefit pension from Aon of £22,000 gross per annum (approximately £1,700 net per month).
- Yvette receives employment income of £28,000 gross per annum, pro-rata for 3 days per week.
- You and Yvette will receive state pension income of £11,973 per annum each from the age of 67.
- Your current expenditure is approximately £2,206 per month.
- I have included the following investments in the analysis:
    - Aviva Platform Pension - £79,092 plus £3,600 gross contribution
    - Aviva Investment Portfolio (GIA) - £57,120 (minus the initial fee of £4,794.37)
    - Aviva ISA Portfolio - £20,000 (from Cash ISA transfer)
- The model assumes you will utilise liquid assets as required to support your desired lifestyle in retirement before accessing your investments.
- The forecast incorporates your cash holding. These have been modelled with the projected growth rates included in the appendix of this report.
- The cashflow assumes all surplus income throughout your lifetime is spent, rather than saved.

Any input information is based on the assumptions detailed at the end of this report.

<u>Income and expenditure</u>



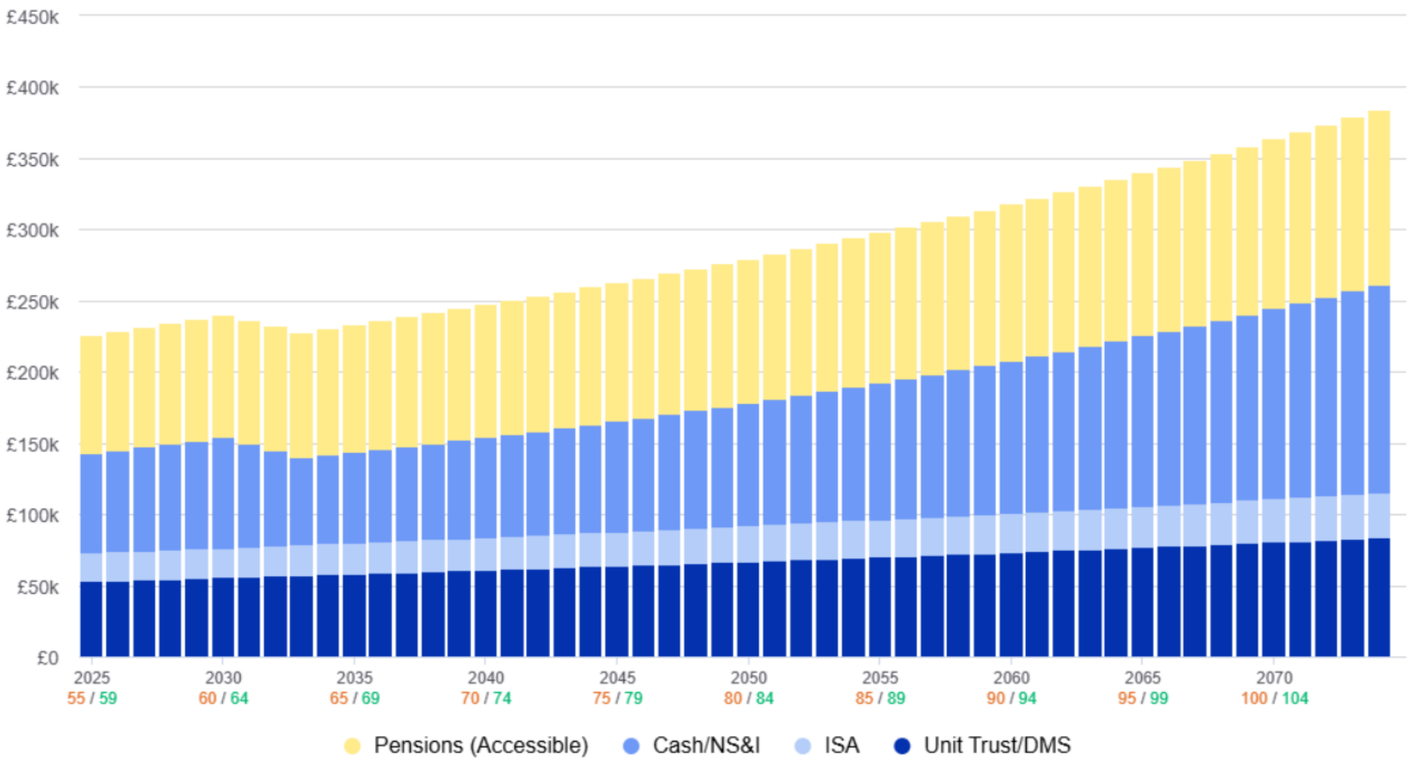
The chart above displays a bar for each year of your life, showing your household income. Each income source is represented by a different colour. Your total expenditure, including tax and National Insurance, is shown by the solid black line running across the bars.

Where income is insufficient to cover your expenditure, the modeller assumes that you will draw from your liquid assets. This is represented by the blue shading in the chart.

If at any point there were insufficient liquid assets or accessible pensions to meet your expenditure, this would be shown by red bars on the chart. In this case, based on the current assumptions, no shortfall is projected throughout your lifetime.

Based on the cashflow analysis, your projected income throughout your lifetime is sufficient to meet your expenditure needs. The charts show no shortfall periods (indicated by red bars), meaning your current financial position and planned investments should support your desired lifestyle through to age 100. Your current surplus income, combined with your investment growth and pension arrangements, provides a solid foundation for your retirement planning.

Current Total Assets



Your projected total assets show steady growth throughout your lifetime, with your property value, investment portfolios, and liquid assets providing a strong financial foundation. The model indicates that your wealth should continue to grow even as you draw upon it for retirement income, providing security and potential legacy for your family.

Alternative Scenarios & Stress Tests

- With recent cost of living pressures and inflation rates above the government's 2% target, I conducted a stress test based on a high inflation rate of 6%. The cashflow analysis shows that even with this elevated inflation rate, there would be no shortfall requiring you to deplete your pension or investment funds before age 100.
- I completed a stress test combining an immediate market crash with increased inflation levels. This showed that even if your investments sustained a loss of 30% with no recovery in 2028, there would still be no shortfall throughout your projected lifetime.
- If Yvette were to pass away before you in 2040, your household income would reduce to your part-time earnings, defined benefit pension, and state pension. However, the assets would pass to you, providing access to capital to help meet ongoing expenses. While some household costs may reduce, your financial projections still show adequacy.

- If you were to pass away first in 2040, Yvette would experience a reduction in income, receiving only her employment income, 50% of your Defined Benefit income and her state pension entitlement. However, she would inherit the estate assets, which could be used to support her expenditure needs through her lifetime.
- The Office of National Statistics life expectancy for a 55-year-old male is approximately 84 years old, and for a 59-year-old female is 87. Based on these statistics and your robust financial position, your funds are projected to last well beyond average life expectancy.

It is important to understand that the above charts are projections based on certain assumptions, and even a small variance between the assumptions used and actual experience can result in a marked difference in the outcome when compounded over a long period of time. Please also note that the chart does not consider any potential long-term care costs which could occur in later life.

Alternative Solutions

We considered retaining your current funds within your pension however, although the funds have provided greater performance, they are not aligned with your risk profile. One fund is aligned to a risk profile of 5 and the other to a risk profile of 7. This means that not only are the funds currently taking a higher risk, but if there is any portfolio drift, the risk being taken could be higher or lower at any time. The recommended funds are in line with your risk profile and are managed to remain this way.

We also considered whether you should retain your current Moneybox ISA. The current interest rate is circa 4.5% however, this is variable and could go up or down at any time. The recommended ISA funds have provided an average performance of 4.72% over a 5-year period. Therefore, there is potential to achieve greater growth by investing these funds. Past performance is not a guarantee of future returns.

Stakeholder pensions have been designed to offer low charges (i.e. a maximum total charge of 1.5% per annum for the first 10 years then 1% thereafter). These have a low minimum contribution level and do not penalise policyholders if they need to stop payment contributions or move their funds to another provider.

In your case however, I am recommending a plan which is not a stakeholder pension plan as this is more suitable for your circumstances because the solution is more cost effective than a typical stakeholder pension. Stakeholder pensions also typically do not allow for flexible access and have limited fund ranges.

As part of the advice process, a range of investment options available within the UK financial services market were considered to ensure the proposed strategy is suitable and aligned with your financial objectives, time horizons, and attitude to risk.

Other investment vehicles were considered but discounted for the following reasons:

Venture Capital Trusts (VCTs) and Enterprise Investment Schemes (EIS)

These tax-advantaged investments can offer attractive income tax reliefs and growth potential, but they are high-risk, illiquid, and often more suitable for experienced or sophisticated investors. Given your objectives, these were deemed inappropriate at this time.

Investment bonds - both onshore and offshore - were considered as part of this advice process. These are life assurance-based investment wrappers that can offer certain tax planning features, particularly around income deferral and assignment for estate or trust planning. However, for your current needs and objectives, they have been discounted for the following reasons:

- Both types of bonds allow cumulative withdrawals of up to 5% of the original investment per policy year without an immediate tax charge. However, exceeding this allowance or surrendering the bond can trigger a chargeable event, leading to potentially significant income tax bills, particularly if not carefully managed.

- Bonds are less transparent in terms of underlying fund charges and investment performance and can involve additional setup and ongoing costs compared to ISAs.
- Your current objectives do not involve complex trust planning, inheritance tax mitigation, or income smoothing - common scenarios where bonds may be more suitable.

Cash Deposits and National Savings

- While holding some cash for liquidity and emergency purposes is sensible, long-term investment in cash is not recommended due to its inability to keep pace with inflation, leading to erosion of real value over time. Your objectives include growing your wealth over the medium to long term, which is better achieved through market-based investments.

Nominations and death benefits

We are unable to see at present whether you have a beneficiary set up on your Aviva plan; therefore, I have posted out an Expression of Wish form for you to sign and return to us. Please return this directly to us using the pre-paid envelope provided.

This will allow you nominate who you wish to benefit from your funds on passing. It will also allow you to designate an amount of your funds to several people.

All payments will be subject to Aviva's discretion. Where your nominees withdraw from the proceeds it will be tax free should you die before age 75. Where your death occurs on or after age 75 those payments will be subject to the nominee's marginal rate of tax.

Cancellation notice

You have a legal right to change your mind and cancel your plan. Once your plan is set up you will be sent a cancellation notice. You have 30 days to review and consider your options. You should check the provider literature to confirm the date this period commences as well as any charges that may apply following cancellation. If your investment falls in value before your cancellation notice is received, an amount equal to the fall in value will be deducted.

However, please be aware the cancellation notice includes a provision that any previous provider is not obliged to take the plan back.

Tax Treatment and Law

All statements concerning the tax treatment of products and their benefits are based on our understanding of current tax law and HMRC practice. Levels and basis of tax relief are subject to change.

Product literature

This documentation is important and contains information regarding the products which I have recommended, particularly with regards to how the product works, its aims, risks and charges, together with its legal status, tax treatment and your cancellation rights. Therefore, please ensure you have read these documents carefully. If there are any points on which you are unsure, or require further clarification, please contact me and I will be pleased to explain these in greater detail.

Our charges

For researching, recommending and arranging these investments, we charge an initial advice fee of 3% of the amount invested as per the terms stated in our Client Agreement. In monetary terms this is £4,794 based on total investment values (£79,092 pension transfer + £57,120 GIA + £20,000 ISA + £3,600 pension contribution). This will be paid from the GIA funds to ensure the maximum amount is invested tax-efficiently in your pension and ISA.

Future contact and ongoing services

We believe it is important to review your investment strategy at regular intervals to ensure it continues to meet your aims and objectives. Our Client Agreement sets out the service my company will provide to you and its likely cost. The benefits of our ongoing service include;

- Reviewing your attitude to risk and capacity for loss to ensure your investment portfolio remains suitable for you.
- Reviewing the ongoing suitability of your investment portfolio.
- Market updates and updates with any changes in financial legislation.
- Access to a professional, experienced and qualified team of financial advisers at any time to provide ad-hoc advice as required.
- Access to full holistic financial planning to suit your needs.

The costs for this service are 1% per annum across all your Aviva Platform investments. Based on current values and expected contributions, this would be equal to approximately £1,558 for the upcoming year (based on total platform value of £155,812 after initial fee deduction). This will vary in line with your fund values. This fee will be paid via the Aviva Platform across your pension, ISA and GIA as you prefer to pay via your provider rather than separately.

Wills

You have confirmed you each have a valid Will in place and from our discussions it would appear to meet your financial planning objectives. You should always review this whenever your circumstances change.

Power of attorney

You confirm you have a registered Power of Attorney covering your financial affairs and health and welfare.

Conclusion

I trust that this letter provides an accurate summary of our discussions, however, should you have any concerns or wish to discuss any of the issues raised in more detail please do not hesitate to contact me.

We strive to provide you with a first-class professional service and hope that we can continue to be of service to you for many years to come. Should you require advice at any time with regard to any aspect of your financial planning, please do not hesitate to contact me and I shall be pleased to assist.

Yours sincerely

Thomas Redmond DipPFS
Financial Adviser
TFAS Wealth LTD

Appendix

Critical Yield

An ongoing annual adviser charge of 1% which has been considered as part of both the new and old solution projections below.

The following comparison considers the effect of any adviser charges currently being paid on the existing pensions being switched out of and the adviser charges that would become payable on the new solution.

Values shown are in real terms which mean that they have been adjusted to take into account the effect of inflation.

The retirement age used is 60.

	Existing pension	New solution
Low growth rate – (0.00%)		
Projected value at age 60	£74,000	£74,000
Reduction in yield	1.6%	1.6%
Critical yield	-	0.0%
Effect of switching	-	£0 or 0.0% decrease
Mid growth rate – (2.94%)		
Projected value at age 60	£83,300	£83,300
Reduction in yield[1]	1.7%	1.7%
Critical yield[2]	-	2.9%
Effect of switching[3]	-	£0 or 0.0% decrease
High growth rate – (5.88%)		
Projected value at age 60	£93,400	£93,400
Reduction in yield	1.8%	1.7%
Critical yield	-	5.9%
Effect of switching	-	£0 or 0.0% decrease

[1] Reduction in Yield is the impact of product, platform and fund charges on the investment growth rate. For example, if the fund grows due to investment growth by 4% in a year and the reduction in yield is 2.5% the fund growth experienced will be 1.5%.
[2] Critical Yield is the growth rate required from the new solution to match the projected maturity value of the pension solution.
[3] Effect of switching is the change in the maturity value of the new solution assuming the fund experiences the same investment growth.

Cashflow Assumptions

Surplus Income Percentage Saved

0% of any in-year surplus will be saved within the plan – all surplus income is spent.

Inflation Assumptions

The following inflation assumptions are the rates used as standard within the cashflow modeller:

The following growth rate assumptions were used in the cashflow modelling:

GENERAL EXPENDITURE 2%
SAVINGS 1.25%
STATE PENSIONS 2.5%
PROPERTY 4.7%
LENDING 4%
AVIVA PLATFORM INVESTMENTS 4.5%

Personal Pension Plan

A personal pension plan (PPP) is a type of money purchase pension that provides a tax-efficient way for individuals to save for their retirement. PPPs suit a wide range of individuals but are primarily aimed at those who do not have access to a workplace pension.

PPPs are not subject to restrictions on charges and therefore tend to offer a wider range of investment opportunities and options than stakeholder pensions. This flexibility provides greater scope to tailor the pension plan to the individual's needs and circumstances.

Flexi-access Drawdown (FAD)

Flexi-access drawdown provides a flexible and tax-efficient means of drawing benefits from a pension fund. An individual can take up to 25% of the pension fund being crystallised as a tax-free lump sum at outset (subject to the Lump Sum Allowance of £268,275 for people with no form of lifetime allowance protection). The remainder of the fund remains invested within a tax advantaged environment from which the individual can take regular or ad-hoc income withdrawals to suit their needs and circumstances. There is no upper limit to the amount the individual can withdraw as an income. However, each withdrawal is taxed at their marginal rate of Income Tax.

Flexi-access drawdown also provides a tax-efficient way of passing wealth down through the generations as any unused pension fund can usually be passed down to a wide range of beneficiaries free from Inheritance Tax.

Lifetime Allowance

The lifetime allowance 'charge' was removed from 6 April 2023 - the legislation for this was included in the Finance (No.2) Act 2023.

From 6 April 2024, the lifetime allowance has been removed. This doesn't mean there are no limits on the amount of pension savings people can take without a tax charge; the lifetime allowance is being replaced by new allowances.

The lifetime allowance is being replaced with three different allowances:

the lump sum allowance - £268,275
the lump sum and death benefit allowance - £1,073,100

Both of these allowances limit the amount of tax-free benefits that can be paid.

There is also:

the overseas transfer allowance - £1,073,100

A check is made against these allowances when benefits are paid. These allowances may be higher if the individual has lifetime allowance protection. These allowances are reduced if benefits were taken between 6 April 2006 and 5 April 2024. There is no longer any additional test against the investment returns at age 75, as previously.

Annual Allowance

Contributions into the scheme are limited by the annual allowance. The Annual Allowance is currently a maximum of £60,000 per annum 2024/2025. High earners may have a lower annual allowance. There is also the facility to potentially carry forward up to 3 years' worth of unused allowances. You should note that if an individual has flexibly accessed other pension benefits though, their Money Purchase Annual Allowance may be restricted to £10,000 with no Carry Forward allowed. Contributions exceeding the annual allowance would trigger a tailored tax charge of up to 45%. Tax relief on any personal contributions made is limited to £3,600 per annum or 100% of salary if higher.

You have not yet triggered the MPAA, and you do not have a lower annual allowance.

General Investment Account

A General Investment Account (GIA) is an investment vehicle which holds assets not allocated to a specific tax wrapper, such as a pension or ISA. GIAs can hold a number of different investments including unit trusts, OEICs, Investment Trusts, ETFs and Structured Products. The taxation of a GIA is summarised below.

Dividends - The first £500 of dividend income received in the current tax year is tax free. Dividends paid above this level are taxed according to an individual's tax bracket at the following rates.

Basic Rate Taxpayer	Higher Rate Taxpayer	Additional Rate Taxpayer
8.75%	33.75%	39.35%

Individuals with dividend income of more than £10,000 must complete a tax return, even if they remain a basic rate taxpayer.

Interest - The Personal Savings Allowance (PSA) allows basic rate taxpayers to earn up to £1,000 of interest tax-free in a tax year. This falls to £500 for higher rate taxpayers, and additional rate taxpayers must pay tax on all interest.

Interest distributions from authorised investment funds are typically paid gross. Any interest earned after the deduction of the PSA is added to the individual's other income and taxed at their marginal rate of Income Tax.

Capital Gains - Capital gains above the annual exemption of £3,000 are taxed according to an individual's tax bracket at the following rates.

Non-Taxpayer	Basic Rate Taxpayer	Higher Rate Taxpayer	Additional Rate Taxpayer
18% (assuming total taxable income and gains do not exceed £37,700)		24%	

Individual Savings Account (ISA)

An ISA is a flexible tax-free investment wrapper with an annual contribution limit. There are three types of ISA * which have a total contribution limit of £20,000 for the current tax year. They are:

- Cash ISA
- Stocks and shares ISA
- Innovative Finance ISA

** There are other types of ISA including Lifetime ISA and Junior ISA. However, the annual contribution limit and rules governing these ISAs are all slightly different.*

An individual can take out any number of each ISA type and split their annual allowance as they wish between all their plans. However, from April 2024 it has been possible to take out multiple ISAs of the same type. Assuming the ISA is 'flexible', it is possible to take money out of an ISA and put it back in later in the tax year with no impact on the individual's annual contribution limit.

Investment gains within an ISA are tax free. There is no tax to pay on any interest or dividends earned within a cash ISA or Innovative Finance ISA, and there is no Income Tax or Capital Gains Tax to pay on profits made within a stocks and shares ISA.

It is possible to transfer an ISA from one provider to another at any time. An individual can transfer all, or part of the fund.

An ISA does not lose its tax-free status on the death of the investor. It becomes a 'continuing ISA' and will remain so for up to three years, until the account is closed, or until the administration of the deceased's estate is completed, whichever comes first. A stocks and shares ISA can be transferred to a surviving spouse's or civil partner's ISA if they have the same ISA provider as the deceased, otherwise they will inherit an increased ISA allowance equal to the value of the deceased's ISAs known as an 'additional permitted subscription'

Key Benefits of the CIP Approach

1. **Diversification and Risk Management**

- The CIP includes a carefully curated selection of funds across different asset classes, regions, and sectors.
- This diversification reduces reliance on a single fund manager or strategy, spreading risk more effectively than a single multi-asset fund.

2. **Active Oversight and Governance**

- Our CIP is actively monitored and reviewed by an experienced investment committee.

- This ensures that the portfolio remains aligned with market conditions and your risk profile, providing greater adaptability compared to a static multi-asset fund.

3. Cost Efficiency

- The CIP is structured to balance performance and cost, optimising value for your investment.
- While individual multi-asset funds may offer simplicity, the CIP's layered approach can enhance performance without excessive costs.

The CIP aligns with your long-term goals and offers a more robust and flexible framework compared to a single multi-asset fund. It provides enhanced oversight, risk management, and adaptability, ensuring that your investment remains effective as market conditions and personal circumstances evolve.

Investment pathways

Investment pathways were introduced in February 2021 by government legislation. The legislation is designed to ensure that individuals who take benefits from their pension fund via drawdown without taking advice still have access to appropriate investments for their needs and objectives.

There are four investment pathways to cater for four retirement scenarios. The four pathways are:

- Option 1 - I have no plans to touch my money in the next 5 years.
- Option 2 - I plan to use my money to set up a guaranteed income (annuity) within the next 5 years.
- Option 3 - I plan to start taking my money as a long-term income within the next 5 years.
- Option 4 - I plan to take out all my money within the next 5 years.

The provider will offer a single investment solution designed to meet each option. Although investment pathways are aimed at individuals that do not have an adviser, they may still be a valid consideration for you because they may have:

- Potentially lower costs;
- Reduced complexity; and
- Less requirement for ongoing advice.

Why are investment pathways not appropriate for you?

I have considered the investment pathway solution offered by the recommended provider that is most relevant to you. However, I have discounted it because:

- You require a more tailored solution than any of the four generic solutions offered by the provider.
- It does not reflect your individual circumstances, withdrawal requirements and risk profile as accurately as the recommended investment strategy.
- You require an investment solution that will be regularly reviewed and adjusted to reflect any changes in your needs and circumstances as part of our ongoing advice service.
- It has not performed as well as the recommended investment strategy.